

Absa Bank Kenya: HY'22 Earnings Note

Absa Bank HY'22 PAT and EPS edged up 12.96% and 12.62% to **KES 6.29Bn** and **KES 1.16.** The leap was driven by a 17.19% y/y increase in Total operating income to **KES 20.91Bn** supported by interest income from lending. Customer deposits grew 6.72% y/y to **KES 281.67Bn** while the loan book grew faster at 19.49% y/y to **KES 261.54Bn** leading to the loan-to-deposit ratio jumping 993bps to 92.85%.

Absa's exposure to government securities reduced marginally by 0.42% y/y to **KES 120.76Bn** and 11.68% q/q indicating a strategy to slow down on government papers as the yield curve steepening has exposed most lenders to fair value losses. At the current growth rate, we expect the lender to close FY'22 at a PAT of **KES 12.65Bn** being a **16.37%** y/y growth.

- **Net Interest Income grows faster than Non funded Income:** The Net-interest income growth of 20.30% was above our expectations having grown to **KES 14.43Bn** mainly driven by income from Loans and reduced placements expenses. Additionally, NII income was supported by income reclassification from Timiza Loans which was previously reported under NFI. Yield from assets increased 50bps to 9.65%, cost of funds reduced 5bps to 2.63% leading to a marginal 3bps improvement in Net interest margin (NIM) printing at 7.06%. Non-funded income grew 10.81% to **KES 6.48Bn** driven by increased revenue from digital transactions and non-banking subsidiaries. Therefore, the revenue mix shifted to 69:31 for NII:NFI from 67:33 in FY'20, with a future target of 65:35.

- **Digital Transactions Drive Efficiency:** Increased efforts to push efficiency through investment in automation saw the banks digital transactions cross the 90.00% level and reduce the cost to income ratio 223bps to **42.27%**. We also attribute the CTI improvement to a faster growth in Total Operating Expenses including impairment provisioning (+19.19% y/y to **KES 11.74Bn**) compared to a **17.19%** growth in Total Operating Income. Loan loss provisioning increased **52.19%** y/y to **KES 2.96Bn** (+112.04% q/q) indicating a perception of increased lending risk and need for a concurrent new loan book risk adjustment.

- **Asset quality to continue improving:** Gross NPLs increased by **7.88%** y/y to **KES 19.79Bn** with the NPL ratio improved 77bps to **7.14%** from 7.91% in HY'22 but remaining below the current industry average of 14.70%. Consequently, the NPL Coverage improved to **78.54%** from 70.86% in HY'21. We expect the asset quality of the bank to improve as almost 100.00% of the **KES 62.00Bn** COVID Restructured loans have been regularized and the lender's Risk-based Model has been approved by CBK.

29th August 2022

Current price: KES 11.64

Target price: KES 14.03

Upside: 20.57%

Recomm: BUY

52 Week High: KES 12.70

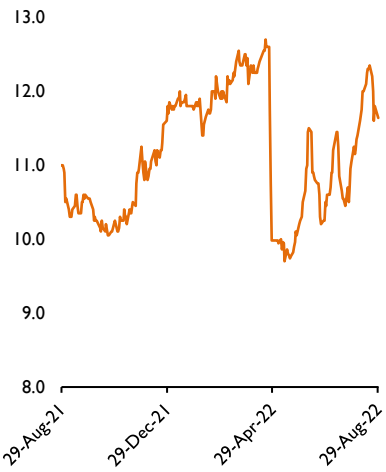
52 Week Low: KES 9.70

YTD Performance: -1.77%

EPS (HY'22): KES 1.16

Interim DPS (HY'22): KES 0.20

ABSA 1-Year Share Price Movement



Outlook

The earnings growth was better than our expectations mainly driven by reduced provisions. We expect product innovation, partnerships and digital channels to continue driving business operations with 90.00% of transactions happening outside the branch. Lending growth is expected to come from trade loans, overdrafts and scheme loans at branch and digital level. Approval of risk-based models by CBK is expected to increase asset yields.

Declaration of a **KES 0.20** dividend seems not to excite investors as the counter closed today at **KES 11.64** being 0.51% lower than the previous trading session. However, we are likely to see profit taking from investors as the counter is nearing the one-year high levels. The counter is currently trading below market valuation (PE at 7.80x) with a PE of **5.82x** but above market average P/TB (Market average at 0.93x) with a P/TB of **1.13x**.

Financial Statement Summary

Income Statement	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	y/y % Change
Net Interest Income	21,992.41	23,178.54	23,381.25	11,995.09	25,256.91	14,429.75	20.30%
Net non-Interest Income	9,702.07	10,588.31	11,140.30	5,845.11	11,664.53	6,477.08	10.81%
Total Operating income	**31,694.48**	**33,766.85**	**34,521.56**	**17,840.20**	**36,921.44**	**20,906.82**	**17.19%**
Provision for Impairment	(3,870.76)	(4,200.59)	(9,026.77)	(1,942.10)	(4,709.21)	(2,955.67)	52.19%
Total Operating expenses	(21,048.75)	(21,485.62)	(25,673.34)	(9,894.95)	(21,372.49)	(11,793.72)	19.19%
Profit before tax	**10,645.73**	**12,281.24**	**5,646.23**	**7,945.25**	**15,548.95**	**9,113.10**	**14.70%**
Profit after tax	**7,416.04**	**7,456.08**	**4,162.01**	**5,571.92**	**10,869.97**	**6,294.04**	**12.96%**
Core EPS	1.37	1.37	0.77	1.03	2.00	1.16	12.50%
DPS	1.10	1.10	-	-	1.10	0.20	-

Balance Sheet	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	y/y % Change
Government Securities	92,938.67	122,995.77	126,057.21	121,271.01	132.576.104	120,755.91	-0.42%
Loans and Advances	177,353.97	194,894.94	208,854.69	218,873.00	234,234.08	261,535.62	19.49%
Total Assets	**324,839.67**	**373,981.79**	**379,440.68**	**398,152.00**	**428,689.60**	**445,288.35**	**11.84%**
Customer Deposits	207,407.83	237,738.65	253,630.11	263,943.91	268,716.65	281,668.66	6.72%
Total Liabilities	280,632.72	328,792.38	332,936.74	346,184.83	372,242.21	389,048.61	12.38%
Shareholder's Funds	**44,206.94**	**45,189.42**	**46,503.94**	**51,967.17**	**56,447.39**	**56,239.74**	**8.22%**

Key Ratios	H1'21	H1'22	% y/y change
Yield from interest-earning assets	9.15%	9.65%	0.50%
Cost of funding	2.68%	2.63%	-0.05%
Net Interest Margin	7.03%	7.06%	0.03%
NII/Total Operating Income	67.24%	69.02%	1.78%
NPL Ratio	7.91%	7.14%	-0.77%
Cost to Income Without Provisioning	44.58%	42.27%	-2.30%
Loan to Deposit Ratio	82.92%	92.85%	9.93%
Liquidity Ratio	38.10%	30.30%	-7.80%
Adjusted Core Capital/TRWA	14.80%	14.00%	-0.80%
Adjusted Total Capital/TRWA	17.40%	16.50%	-0.90%

Source: ABSA, AIB-AXYS



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